

The United States lacks a systematic approach to funding investments that are critical to the national interest. This is a serious and urgent issue because many of these investments take decades to develop and mature, are often foundational, enabling or strategic in nature, and sometimes may not offer clear or obvious profit. In contrast, private equity expects returns in 5-7 years, venture capital typically in 10¹, and both require business cases with a clear return on investment. But projects related to semiconductor fabs, rare earth processing, fusion energy, and national defense can take 20 to 30 years to pay off-- if they even do. That's far outside the timeline private markets are willing to accept, even when the technologies and outcomes are of vital strategic importance.

Meanwhile our competitors are playing a different game. China's government directs billions toward technologies that will matter in 50 years. Norway's sovereign wealth fund manages \$2 trillion.² And Singapore's Temasek has operated since 1974, delivering ~ 7% annual returns while advancing national interests.³ What does America do? We wait for crises. Congress passes emergency legislation whenever we're dangerously behind in a strategy sector. This 2022 CHIPS Act authorized \$52.7 billion for semiconductor manufacturing⁴ only after discovering that Taiwan produces 90% of the world's advanced chips.⁵ This reactive, sector-by-sector approach is inefficient, late, and leaves dangerous gaps.

¹ Melinda Elmborg, "VC Math Explained To Founders: The High-Stakes Game Of Startup Funding," *Forbes*, October 1, 2024, <https://www.forbes.com/sites/melindaelmborg/2024/10/01/vc-math-explained-to-founders-the-high-stakes-game-of-startup-funding/>.

² Norges Bank Investment Management, "The Fund's Value," Norges Bank, <https://www.nbim.no/en/investments/the-funds-value/>.

³ Temasek, "Performance & Portfolio," Temasek Review, <https://www.temasekreview.com.sg/performance-and-portfolio.html#performance-overview>.

⁴ Congress, Frequently Asked Questions: CHIPS Act of 2022 Provisions and Implementation, H.R. Rep. No. 117th Congress-R47523, 2nd session (Apr. 25, 2023). <https://www.congress.gov/crs-product/R47523>.

⁵ Helen Davidson and Chi-hui Lin, "How Taiwan secured semiconductor supremacy – and why it won't give it up," *The Guardian* (Taipei), July 19, 2024, <https://www.theguardian.com/world/article/2024/jul/19/taiwan-semiconductor-industry-booming>.

Rank	Profile	Total Assets	Type	Region
1.	Norway Government Pension Fund Global	\$2,044,146,286,949	Sovereign Wealth Fund	Europe
2.	China Investment Corporation	\$1,332,071,000,000	Sovereign Wealth Fund	Asia
3.	Abu Dhabi Investment Authority	\$1,128,750,000,000	Sovereign Wealth Fund	Middle East
4.	SAFE Investment Company	\$1,090,000,000,000	Sovereign Wealth Fund	Asia
5.	Kuwait Investment Authority	\$1,029,000,000,000	Sovereign Wealth Fund	Middle East
6.	Public Investment Fund	\$925,000,000,000	Sovereign Wealth Fund	Middle East
7.	Badan Pengelola Investasi Daya Anagata Nusantara	\$900,000,000,000	Sovereign Wealth Fund	Asia
8.	GIC Private Limited	\$800,800,000,000	Sovereign Wealth Fund	Asia
9.	Qatar Investment Authority	\$557,000,000,000	Sovereign Wealth Fund	Middle East
10.	Hong Kong Monetary Authority Investment Portfolio	\$525,662,227,800	Sovereign Wealth Fund	Asia
11.	Temasek Holdings	View Total Assets	Sovereign Wealth Fund	Asia
12.	National Council for Social Security Fund	View Total Assets	Sovereign Wealth Fund	Asia
13.	Investment Corporation of Dubai	View Total Assets	Sovereign Wealth Fund	Middle East
14.	Mubadala Investment Company	View Total Assets	Sovereign Wealth Fund	Middle East
15.	Turkey Wealth Fund	View Total Assets	Sovereign Wealth Fund	Middle East

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The question is straightforward: If private capital won't fund 20-year strategies priorities and government only acts during emergencies, who's securing America's competitive future?

⁶ SWFI, "Top 100 Largest Sovereign Wealth Fund Rankings by Total Assets," table, Sovereign Wealth Fund Institute, <https://www.swfinstitute.org/fund-rankings/sovereign-wealth-fund>.

In December 1861, Treasuring Secretary Salmon Chase couldn't pay for the Civil War. European banks refused loans to the Union. American banks suspended gold payments, freezing the financial system. Private capital had vanished. Chase's solution was bold: create "greenbacks": \$450 million in paper currency (roughly \$16 billion in today's terms) backed not by gold but by the government's commitment to national survival. Congress passed the Legal Tender Act in February of 1862 because, as the historical records shows, "the North feared a panic, or a collapse of the Union war effort"⁷ without immediate action.

Greenbacks ultimately worked. They financed Union victory and did something more: they catalyzed industrial growth. Regions that adopted greenbacks saw "a corresponding increase in the purchase of steam engines and other industrial equipment."⁸ Chase also built institutional structures around the currency, creating the National Banking System to provide long-term financial stability.

The key lessons are clear. When private markets fall short and stakes are high, the government can and should step in and create new financial tools. But it takes more than just money. What made Chase's greenbacks system succeed wasn't just funding: it was the strong oversight and the systems he put in place to keep it all working. Further, giving companies money as subsidies means taxpayers take all the risk but don't benefit if companies succeed, and focusing on just one sector at a time misses how everything is connected: you can't build advanced chip manufacturing without race earth processing or advancing materials. We also need a permanent system to handle the next challenge-- not scramble up after the crisis has already hit.

⁷ Robert F. Bruner and Michael T. Caires, *The Panic of 1861 and the Advent of Greenbacks and National Banking (a)*, uva-f-1822 ed. (Charlottesville: Darden Business Publishing, 2018), [Page 12].

⁸ Bruner and Caires, *The Panic*, [Page 17].

As such, Congress should set up a U.S. Strategic Investment Fund with a clear mission: to invest \$500 billion over five years in critical areas where private companies aren't investing, but where national security demands actions. A team of experts, including specialists in the field, financial professionals, top think tanks, and the Treasury, should oversee and monitor how the money is invested with multiple investment strategies put to work.

One strategy should be to create strategic investment bonds backed by the federal government, similar to how greenbacks worked in the past. These bonds would have 20-30 year maturities like U.S. Treasuries, but offer higher investment rates to make up for the extra risk tied to large infrastructure-style investments. They should prove attractive to long-term investors like pension funds and university endowments, which are used to managing patient capital.

Another strategy should focus on buying equity investments: but 15% to 40% in companies or projects. These investments could be grouped by industry and offered as sector-based ETFs (exchange traded funds)⁹ that the public can invest in, similar to what is now being suggested.¹⁰ This gives everyday investors a way to support national goals, similar to social or values-based investing. The fund would hold onto these investments for 10 to 20 years, then sell them off to private investors once the companies or technologies are strong and stable. Profits from these successful investments would go back into the fund to support new projects.

⁹ Charles Schwab, *Sector ETFs* (Schwab), <https://www.schwab.com/etfs/types/sector-etfs#:~:text=Sector%20ETFs%20allow%20investors%20to,react%20beneficially%20to%20anticipated%20events.&text=An%20investor%20with%20a%20concentrated,with%20a%20total%20market%20fund>.

¹⁰ William Edwards, "The 4 industries Jamie Dimon says JPMorgan will invest billions in to preserve US dominance," *Business Inside*, October 13, 2025,, <https://www.businessinsider.com/jamie-dimon-says-jpmorgan-will-invest-billions-in-four-industries-2025-10>.

A third strategy would create public-private partnerships using special-purpose vehicles (SPVs): a structure inspired by the recent rise in SPAC (special purpose acquisition company) investing. The goal here would be to take the SPACs public, but to create a shared investment model. This would allow the government to co-invest with venture capital firms and trusted foreign funds in key areas like climate tech, biotech, quantum computing, and advanced materials.¹¹

A key added benefit of these national investments would be the “halo effect”: similar to what happened when President Kennedy challenged America to reach the moon. That mission energized the U.S. space program. The spillover benefits from these investments would also spark new private startups, build out supply chains, and help small businesses: creating a whole new ecosystem. A great example of this is how DARPA’s investment in the 1970s helped kickstart innovation that led to the semiconductor boom and the rise of Silicon Valley.¹²

The time to get started is now. Let’s draft a bill to create this fund and present it to Congress!

¹¹ Marius Berger et al., *Understanding Government Venture Capital: A primer and a taxonomy*, issue brief no. 1815-1965, June 2025, <https://doi.org/10.1787/2157a5b3-en>.

¹² Gary Clyde Hufbauer and Euijin Jung, *DARPA made US chip industry more competitive and triggered an employment boom*, November 11, 2021, <https://www.piie.com/research/piie-charts/darpa-made-us-chip-industry-more-competitive-and-triggered-employment-boom>.

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